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PRESENTATION

Operator

Ladies and gentlemen, thank you for standing by. Hello and welcome to Equinor analyst call Q1 conference call. (Operator Instructions)

Thank you. I would now like to turn the conference over to Bard Glad Pedersen, Senior Vice President and Head of Investor Relations. Please go ahead, sir.

Bard Glad Pedersen - *Equinor ASA - Senior Vice President, Head of Investor Relations*

Thank you, operator, and good morning to all. Welcome to the presentation of Equinor's first quarter result. As usual, I'm here with our CFO, who will take us through the results and then take your questions. We plan to complete the session within one hour.

So with that, I hand it to you. Thank you very much, Bard.

Torgim Reitan - *Equinor ASA - Executive Vice President and Chief Financial Officer*

Thank you very much, Bard. And good morning and good afternoon to all of you. So, thank you for joining us today. This quarter, war and conflict, first and foremost, are impacting people in a severe way. Energy markets are also fundamentally shifting, and we have a particular role in providing reliable energy. Against this backdrop, I'm glad to report excellent operational performance with high regularity, new fields on stream. And in this quarter, we delivered our highest production ever.

This is important for energy security and for our investors. The war in the Middle East is creating high volatility and imbalances in the market. It is not clear when this conflict will be resolved or how long it will take to restore infrastructure in the region or what the lasting impact to

the markets will look like. We will focus on what we can control and influence, maintaining cost control and capital discipline and being a reliable supplier of energy, delivering all of this in a very safe manner.

A good example of this is the Gullfaks field right now. There, oil is flowing into shuttle tankers bound for European customers, just as it has done for steadily 40 years. When we started the Gullfaks field in 1986, we expected to produce 1.3 billion barrels. We have now passed 2.5 billion, and we are still counting.

The world needs energy it can trust. And the Norwegian Continental Shelf is a stable oil and gas province that continues to deliver above and beyond expectations. So over to the results. This quarter, we delivered record high production, 9% up from the same quarter last year. High regularity and new fields on the NCS combined with record high production in the US contributes to this growth.

With this, we capture value from higher prices, and the trading business captures value uplift from increased volatility. This quarter, the adjusted operating income was \$9.8 billion, and our net income was \$3.1 billion. Year to date, our cash flow from operations after tax is \$6 billion. An increase in collaterals supports strong trading results during volatility, but reduces our cash flow in the quarter. I will revert to this later.

Our adjusted earnings per share was \$1.48, positively impacted by strong results on financial items. On the NCS, we made seven commercial discoveries, and in January, we were also awarded 35 new licenses. With this new acreage and strong exploration results, we will continue to be a reliable energy supplier.

In Brazil, we started drilling at the Raia gas field, which we expect to be on stream in 2028. Portfolio optimization continues to deliver value, and this quarter, we received the first quarterly dividend of \$150 million from Adura. Then to capital distribution. For the quarter, the Board approved a cash dividend of \$0.39 per share, and a second tranche of the share buyback of up to \$375 million. This is in line with what we indicated at our 4Q '25 presentations.

At that time, we expected to lean on the balance sheet in 2026 to maintain stable investments and competitive capital distribution. Higher prices will strengthen our cash flow, but there is still significant uncertainty. Competitive capital distribution remains a key priority for us. As always, safety is our top priority, and our safety performance has steadily improved over time. This quarter, we have, however, seen an increase in the number of incidents, and we must continue our work to improve safety and ensure everyone working with Equinor returns home safely every day.

In the quarter, we produced more than 2.3 million barrels per day. This is an all-time high, up 9% compared to the same quarter last year. We are on track to deliver on our guidance of a 3% production growth for the year. Production on the NCS was up 10%, mainly driven by high regularity across the portfolio and the ramp-up of Johan Castberg, Halten East, and Verdande.

In the US, we had record high production, driven by Caesar Tonga offshore and our US gas position onshore. Outside of the US, our international production also increased, driven by Adura and Bacalhau, but it was partly offset by our reduced ownership in Peregrino. Power production was stable at 1.4 terawatt hours.

Then to the finances. E&P Norway's adjusted operating income totaled \$7.7 billion pre-tax and \$1.7 billion post-tax. This reflects the high production and strong price realization. Crude qualities that can be used for jet fuel and diesel have seen stronger differentials, and we have benefited from this at Gullfaks and Johan Sverdrup.

Normally, crude from Johan Sverdrup trades at a slight discount to Brent, but we are now seeing a premium of \$5. And in March, we sold cargoes at a \$13 premium from Johan Sverdrup. Our E&P international results reflect increased production and some overlift in the quarter, and they're impacted also by high depreciation in Adura.

Results for the US are driven by record high production and strong realized gas prices, particularly during the cold spell at the start of the quarter. MMP delivered close to double our quarterly guidance, \$787 million before tax, mostly due to strong products and US gas trading. The MMP results demonstrate how we continue to capture value from a volatile market.

This is the first quarter where we report power as a separate segment, or as a segment, combining renewables, flexible power, and power trading. The result came in close to zero, with strong contribution from the power trading business. Adjusted operational cost and SG&A was up 9% compared to the same quarter last year. Underlying OpEx and SG&A, including portfolio changes, was down 6%. And adjusted for currency, it was down more than 10%, which was the ambition we set in February. And we deliver cost reductions, even if we have more fields on stream and we are growing production.

This quarter, cash flow from operations after tax was \$6 billion. In addition, I want to highlight two points. First, we have a cash inflow of around \$800 million from a positive price review settlement. This is cash in, but it is not included in this cash flow from operations for the quarter. Second, we have put in cash collaterals of almost \$900 million. This is to be expected during times of volatility, and it supports strong trading results. But however, it does reduce the cash flow from operations in the quarter.

Also, there is a net increase in working capital of \$800 million in the first quarter. We paid two tax installments on the NCS this quarter, totaling \$4.2 billion. Next quarter, we will pay three installments of NOK20 billion each.

In June, we will determine tax payments for the second half of this year, and the first half of 2027. Organic CapEx for the quarter was \$3 billion, in line with our CapEx guidance for the year. And we have a strong cash position of \$20 billion. Our net debt ratio decreased to 15%. Higher prices will impact our outlook for cash flow and net debt towards the end of the year. In February, we expected a cash flow from operations of \$16 billions after tax in 2026. This was based on a scenario with \$65 Brent and then \$9 per MMBTU for European gas.

We see large movements in forward prices, on a daily basis. And there is significant uncertainty, making it hard to predict our cash flow for the year. However, if we assume that Brent averages \$85 per barrel this year, and European gas prices \$13 per MMBTU, we expect the cash flow from operations to be around \$8 billion higher for 2026.

At the same time, our future tax liabilities will increase with around \$4 billion due to the tax lag in Norway. This is when we measure it compared to what we expected in February. With higher prices, we no longer expect to lean on the balance sheet this year. With the scenario of \$85 oil, we expect our net debt ratio to remain fairly stable through the second quarter, when we will recognize the state's share of buybacks for 2025 as net debt.

Then we expect it to reduce to somewhat below 15% during the second half of the year. So, our guidance presented in February remains stable. There are no changes to that. For 2026, we expect \$13 billion in organic capEx, and around 3% growth in oil and gas production.

So by that, I would like to say thank you very much for your attention. And I leave the word back to you, Bard, for the Q&A.

QUESTIONS AND ANSWERS

Bard Glad Pedersen - Equinor ASA - Senior Vice President, Head of Investor Relations

Thank you, Torgrim. And we will then start the Q&A. We have a good list already, and we'll start with Alejandro Vigil from Santander. So please, Alejandro, your line should be open.

Alejandro Vigil - Santander Osbkinc - Analyst

(technical difficulty)

Bard Glad Pedersen - Equinor ASA - Senior Vice President, Head of Investor Relations

Alex, sorry, can you hear me? We missed the start of your question because the line wasn't open in time. So can you start over, please?

Alejandro Vigil - Santander Osbkinc - Analyst

Yeah, no problem. It's in terms of the share buybacks for the year, the guidance of \$1.5 billion. And this is already fixed, or depending on the commodity environment, if in the second half of the year we have these higher energy prices, you will be in a position to update, to increase these buybacks. That will be the first one.

And the second one is about your views about the European natural gas market. We have seen relatively, I would say, relaxed energy market in Europe with forwards, also relatively low versus the expectations of the situation in the Middle East. If you can share with us your view about the situation and outlook for the second half of the year. Thank you.

Torgim Reitan - Equinor ASA - Executive Vice President and Chief Financial Officer

Thank you very much, Alejandro. So first on capital distribution. So, we communicated at the fourth quarter, \$0.39 per share and the share buyback of \$1.5 billion for the year. So there's no change to that guiding. When we said that, we were planning to lean on the balance sheet for this year, as I have said, to remain competitive.

So clearly, there's still a lot of uncertainty around this. So, it is way too early to have a discussion on that. But what I can say is that we expect not to lean on the balance sheet for the rest of the year with the current price outlook.

Normally, we do announce the dividend and share buyback at the fourth quarter presentation. And that should be the starting point for any discussions around this. But from the AGM, we have the mandate to change during the year. But that is not the normal approach.

And with all this uncertainty around us, it's important for me to say that any share buyback beyond sort of the base will have to be based on money that we have already earned in a way. And so this is clearly too early to have a discussion on that topic. What is important for me to say is that being competitive in our capital distribution will have priority in the capital allocation going forward.

Yeah, so that was the first question. Let me see. The second one was on the natural gas market. Yeah, it's a very, very, very important question. So, at the outset, when we started this year, clearly, we expected a softer gas market for '26 and '27, based on more LNG coming to the markets, with the closing of the strait, 20% of that global LNG is shut in. So, the situation is very different.

I think there is a little bit of -- it has been, the main attention has been on the oil market. But I think equally important is actually the natural gas market. Because when the Strait opens, we do believe that it will take, maybe half a year for oil to get back to normal. For gas, it will take much longer. Qatar Energy has said that [17%] (corrected by company after the call) of the export capacity from the Gulf is damaged and will take three to five years to repair.

So currently, we don't see that glut of LNG through this decade as sort of we were expecting just half a year ago. This is a little bit of a topic that, clearly we are very occupied with. And I do think the world will see this more clearly in a bit.

When it comes to the European situation in itself, I mean, the storage levels are at 30% currently, that is 6% below season normal. And in the sort of the curves, or also the market, doesn't give incentives to inject for the time being. So we believe that gas storages will likely not reach the 80% target that is set. Meaning that going forward, the European gas market will be vulnerable, for weather events, for operational issues.

And when you in addition add that sort of there is 32 BCM of Russian gas that will leave the market over these two years, it's clear there is quite a lot of additional LNG that needs to come to Europe to satisfy the necessary demand. So, clearly an area to watch. We take the role as a reliable energy supplier extremely important. And first, it's important to produce at maximum and deliver national gas to Europe in a situation like this.

Bard Glad Pedersen - Equinor ASA - Senior Vice President, Head of Investor Relations

Thank you, Alejandro, for your question. Thank you.

The next one is Biraj Borkhataria from RBC. Biraj, please go ahead with your question.

Biraj Borkhataria - Rbc Capital Markets - Analyst

Hi there. Hopefully you can hear me. Just to add one question, and it's about the, your Ørsted holding. You're obviously now kind of in the black or close to the black on the investment. But you've moved from not wanting a board seat to then suggesting you'd want a board seat and then not nominating a board member.

So I just want to understand, do you still see this as a long-term strategic holding, as you previously said, or has something changed here? And then related to that, are you in discussions around a potential JV with them? And should we expect an update with the CMD? Thank you.

Torgrim Reitan - Equinor ASA - Executive Vice President and Chief Financial Officer

Thanks, Biraj. So, there is no change in the way that we view sort of our ownership position in Ørsted. We see ourselves as a long-term industrial owner. And we do believe, as we said earlier, that this industry is now coming out of its first crisis. And there is consolidation needed. And we do believe that collaboration between the two companies has the potential to create a shareholder value, both for Ørsted's shareholders and Equinor's shareholders. So this remains firm. Ørsted is a great company.

What I would like to say is that when it comes to board position, clearly the timing for that needs to be right. We informed Ørsted that we would not nominate a board member this year. But our approach to this ownership is the same, a long-term industrial owner.

Bard Glad Pedersen - Equinor ASA - Senior Vice President, Head of Investor Relations

Thank you, Biraj. Next one is Alistair Syme from Citi. Alistair, please, your line is open.

Alastair Syme - Citi Infrastructure Investments LLC - Analyst

Thanks, Bard. Can you talk a little bit about activity levels in the US onshore? I appreciate that this is a non-operated position. But how many rigs running in Eagle Ford and Marcellus, and any thoughts on ambitions to increase?

And then as a follow-up, I think later on this year, Germany is looking to move forward with its tenders on 9 gigawatts of gas-fired power. Is this a tender that might fit with Equinor's strategy in this area? Thank you.

Torgrim Reitan - Equinor ASA - Executive Vice President and Chief Financial Officer

Okay, thanks, Alistair. So, our onshore position in the US is now fully concentrated in the Marcellus play, and we are not operating any longer. So, we are together with Expand in Marcellus. So, that produces very well. So, production increased by 17,000 barrels per day, and we are now at [320,000] (corrected by company after the call) barrels per day. So, that is good, and Expand is a good operator. This is, as you know, the area in the US with the lowest break-even around a dollar for that production, well-situated in sort of future demand to data centers and gas-to-power and all of that. So, it remains a very strategic asset for us.

When it comes to offshore wind and auctions in Europe, I would say that Europe in general is an area where clearly there is quite a bit of support for this, driven by energy security now much more than decarbonization. I just want to repeat what we said at the fourth quarter, that our priority within the renewable space is to finalize and conclude the projects that we have under development in the US, in UK, and Poland. And the bar for further capital commitments into the offshore wind space is very high, and that also goes for the Ørsted position.

Alastair Syme - Citi Infrastructure Investments LLC - Analyst

So, Torgrim, the second question is actually on the gas-fired power in Europe -- sorry, in Germany rather.

Torgrim Reitan - Equinor ASA - Executive Vice President and Chief Financial Officer

Maybe I misheard you, Alistair. So, yeah, and also, I mean, we have nothing particular to mention in that regard, but clearly we do see that Europe and Germany in particular needs to sort of invest into the sort of the electricity system and grid. So, we follow that situation clearly.

Alastair Syme - Citi Infrastructure Investments LLC - Analyst

Okay. Thanks very much. Okay.

Bard Glad Pedersen - Equinor ASA - Senior Vice President, Head of Investor Relations

Okay. Thank you, Alistair. Next one on my list is Teodor Sveen-Nilsen from Sparbanken Markets. Teodor, please go ahead.

Teodor Sveen-Nilsen - SB1 Markets - Analyst

Good morning, Torben. I have two questions. So, two questions for me. First, on price differentials, we know that that's also a pretty good readout sort of price in Europe. In Q2, we are, of course, seeing even higher day-to-day prices. I just wonder if you can share what you've seen on the realized prices for specific cargo so far in Q2.

Second question, that is on the potential for postponing maintenance upcoming summer season, upcoming maintenance season, given the high energy prices we currently have seen.

Torgrim Reitan - Equinor ASA - Executive Vice President and Chief Financial Officer

Okay, thanks. Thanks, Teodor. So, strong price realizations in the quarter. So, first of all, we do not hedge our production, neither on the gas side nor on the oil side. So, we want to be exposed to the volatility, and that is what we benefit from in this price environment.

When it comes to the oil on the NCS, we achieved close to a \$3 premium to Brent in the first quarter. Normally, we trade at a discount to Brent in general. So, this is driven by a few things. One is that the demand for certain qualities have really increased, because many of them replace the Middle Eastern quality. And as an example, Johan Sverdrup now traded a \$5 premium to Brent. Normally, it is a discount, and

we actually sold cargoes at \$13 premium to that. Johan Castberg, the new one, is also another one. So, we had premiums above \$20, actually, to a difference. And Gullfoss is a third one. So, clearly, we are able to take out quite a bit from the differentials.

Then there has been quite a bit of difference between the physical delivery, the dated versus the front month, and that has moved up and down, and the differential was very high in March. And we delivered or we sold or lifted a lot of volumes in March.

So, it's an example that sort of through trading and through marketing, we are able to take out value through these locations in the market. And going into April and all of that, it's too early to be specific. But clearly, the demand for sort of our oil is still very high. What we have seen is sort of that the curve has come up somewhat. So, the differentials between the physical delivery and front month is less than it was in March as well.

So, we'll have to wait and see, Teodor, on where this ends. We will be specific on price realizations in the consensus invite to the quarter.

Bard Glad Pedersen - Equinor ASA - Senior Vice President, Head of Investor Relations

The second quarter on postponement?

Torgrim Reitan - Equinor ASA - Executive Vice President and Chief Financial Officer

Yeah -- yeah. Thanks, thanks, Bard. Yeah, the answer to that is no, Teodor. You know, maintenance programs on our installations are major industrial projects. They take a massive amount of planning, involvement of suppliers. And clearly, we do not want to disturb any of that. The most important is to do that effectively and safely.

Teodor Sveen-Nilsen - SB1 Markets - Analyst

Understood. Thank you.

Bard Glad Pedersen - Equinor ASA - Senior Vice President, Head of Investor Relations

Thank you, Teodor. We go to the next question. And that is Henri Patricot from UBS. Henri, please go ahead.

Henri Patricot - UBS AG - Analyst

Yes, thank you, Bard. Hello, everyone. So, yeah, two questions from my side. The first one, just on the production, you have very strong performance in the first quarter, but you've kept the guidance unchanged at plus 3% for the year. Just wondering to what extent there is an upside to the rest of the year, because it's -- there was a slightly higher production on average in '25 versus Q1 '25. But still, the guidance for '26 implied a drop over the rest of the year. So, just trying to understand what's driving that.

And secondly, you mentioned the cost reduction. So, I think you could elaborate on what's working for you in terms of driving cost reduction, exactly which part of the business. Thank you.

Torgrim Reitan - Equinor ASA - Executive Vice President and Chief Financial Officer

Thanks, Henri. So, first on the production guidance, so 3% production growth we expect for the year. In the first quarter, clearly we are very proud of what the organisation has done on the quality of the operations, very high production efficiency and regularity. And the new fields coming in are performing well and ramping up as they should.

So, in the first quarter, we have produced more than we had in our plans. But it is way too early to make any changes to the guidance. We are moving into the second and third quarter, where we will have turnarounds. And in the second quarter, it's a 75,000 barrels per day, programme. And in the third quarter, 40,000 barrels per day. And we all know that contains some uncertainty as well.

So, but I can leave with you that the production has gone very well in the first quarter. On the cost, yeah. So, there is a 9% sort of growth in reported cost. That is driven by record production and more fields in production. So, that is natural. However, we have the transportation cost have increased, driven by shipping rates and also energy costs. And also, currency the strengthening of the Norwegian kroner has a certain impact on that.

And if you sort of take away those type of elements that is not related to underlying performance and also, we have royalties in there, the underlying, there is a cost reduction of 6%. So, and that is without currency changes, actually. So, meaning that we are putting more fields in production. We are growing our production while we are reducing the cost.

And this is just a result of a systematic work over many years. Associated comment is that the unit production cost, we expect that to be reduced from \$6.6 per barrel to \$6 during the year. Just improving the quality and underlying profits of our earnings.

Bard Glad Pedersen - Equinor ASA - Senior Vice President, Head of Investor Relations

Thank you, Henry. Next one in the line is Matt Lofting from JP Morgan. Matt, please go ahead.

Matthew Lofting - JPMorgan Chase & Co - Analyst

Hi, thanks for taking the questions. Torgrim, given your earlier comments on gas and hopefully now a better balance sheet out in 2026, you were very clear earlier around needing to maintain the baseline on maintenance, et cetera, which makes full sense. But I just wondered whether you see the merit yet in higher CapEx to fund an acceleration in Norwegian or non-Middle East, as it were, located production, or is it simply too early to be able to take that view and warrant any capital allocation revisions at this point?

And then, secondly, I just wanted to ask you about production. I mean, Q1 looked very strong in terms of the operational performance. I think you termed it earlier as putting the company on track for 3% full year growth rather than ahead. Do you see any upside emerging to the 3% growth for this year? Thank you.

Torgrim Reitan - Equinor ASA - Executive Vice President and Chief Financial Officer

Thanks, Matt. So in February, we glided on a significant improvement in the free cash driven by both lower cost and a high-graded investment program at such. And there is no changes to that. We have a program that is very consistent with our production growth ambitions and so on. So, there are no news into that.

What is very important for us when we consider the investment program is to see to that it is high-graded, that it has the maximum profitability that we can get out of the program. And that will remain the case, even if sort of prices goes up. I mean, we are living in seldom times with a lot of uncertainty, and we need to be prepared for that. Things can be very different again. So, we will remain disciplined.

On production, it was a strong first quarter production, better than assumed in the 3% guiding, but it is too early to do anything with it due to uncertainty going forward and particularly related to the turnaround program.

Bard Glad Pedersen - Equinor ASA - Senior Vice President, Head of Investor Relations

Thanks, Matt. Next question is John Olaisen from ABG. John, please, your line is open.

John Olaisen - *ABG Sundal Collier Holding ASA - Analyst*

Yes, thank you so much for taking my question. Many of your competitors are talking a lot about international exploration going forward. You seem to be standing out as one of the companies that have reduced international exploration.

And if I'm right, you're only drilling two -- you're only planning for two exploration wells in 2026 and two ILX wells in Angola. I just wonder if you could talk a little bit about your ambitions when it comes to international exploration and maybe a little bit details about your drilling plans for 2026.

Torgim Reitan - *Equinor ASA - Executive Vice President and Chief Financial Officer*

Thanks, John. Yeah, I think I'll start with a little bit of highlights on how we think about international business. And then over the last few years, we have streamlined that significantly into fewer countries and focusing on sort of where we see that we can create the most values.

And then clearly, we have done some divestments and acquisitions to support that. So currently, we are looking at higher international production growth, reaching more than 950,000 barrels per day in 2030, and growing cash flow, lower unit production costs and lower CO2 emissions. So over the years, we have actually been able to make this into something better than a few years back.

Exploration is an integrated part of how we think about developing the international business. The exploration will be first and foremost focused on areas where we currently are, Brazil, Angola, US, to mention a few. So this year, it is a rather limited program focusing on Angola and ILX opportunities -- great opportunities though.

Going forward, clearly focus will be more on Brazil, where you might be aware that we hold the neighboring lease to BP's Bumerangue asset in Brazil, and also a couple of interesting prospects close to the Raia development further north as interesting. So those are concrete opportunities that we are developing. And then there are more opportunities as well. So exploration will have priority, doing significant step outs, on frontier exploration beyond the countries where we are, we will be careful with.

John Olaisen - *ABG Sundal Collier Holding ASA - Analyst*

Well, thank you. My second question is regarding Dogger Bank, as I noticed that Dogger Bank B has started production. I just wonder, when do you expect Dogger Bank C to start production? And also, what is the status of potential Dogger Bank D, E, et cetera? It's final question. Thank you.

Torgim Reitan - *Equinor ASA - Executive Vice President and Chief Financial Officer*

Thanks, John. Yes. So there has been delays on Dogger Bank A, as you would know. So that is now more and more getting back to where it should be. Dogger Bank B installation is on track, and that is moving forward as planned.

When it comes to Dogger Bank C, the transition pieces those things are ongoing. And we actually, well, no, let me say -- those were actually completed. Those are actually done half a year ago. And we do expect Dogger Bank C to be completed in around two years' time.

Bard Glad Pedersen - *Equinor ASA - Senior Vice President, Head of Investor Relations*

Thank you, John. Next one on my list is Naish Cui from Barclays. Naish, your mic is open.

Naisheng Cui - *Barclays Services Corp - Equity Analyst*

Thanks, Bard, and good morning, Torgrim. Two questions for me, please. First, congratulations on a record high production number. But could I ask about safety, please? I wonder if you could provide some color why the safety data in slide 3 of the presentation deteriorated during Q1. It's not really a pushback for me, but I just want to hear Equinor's plan to produce at a very high level in a safe and sustainable manner, please.

And then the second question is on your new Power segment. This is the first quarter that you officially have had this new Power segment. I wonder what has surprised you both positively and negatively. Thank you.

Torgrim Reitan - *Equinor ASA - Executive Vice President and Chief Financial Officer*

Yeah, thank you. Thank you, Naish. So safety is our first priority. And if you look at sort of the development over the last years, it has been a very, very positive development for this. What we see recently is sort of that things are flattening out statistically, and then we have seen some more incidents.

So, but clearly, we are seen as a very safe operator. And I would say that I see no risk this having an impact on production efficiency. An associated point is the technical integrity of an aging fleet of platforms is something that we follow very, very closely. And that technical integrity is actually higher than sort of than it has been for many, many, many years. So the underlying quality in the operations is very high. But this is something that we follow very, very closely.

The new Power segment reported close to zero this quarter. So what we do see is positive development on underlying cost and business development activities and all of that. And then clearly a strong contribution from the power trading in the quarter. This is going in the right direction. And we are all looking forward to positive results in the future.

Bard Glad Pedersen - *Equinor ASA - Senior Vice President, Head of Investor Relations*

Thank you. Thank you, Naish. And then it's Redburn, Fergus Neve. Fergus, please take your question.

Fergus Neve - *Redburn Atlantic - Analyst*

Brilliant. Thank you very much for taking my questions. Just one question from me today, please. I saw some press reports recently about awards being granted for the FEED study at Bay du Nord, which is obviously an exciting project. I was hoping you might be able to give us some color on where you are on kind of on what current timelines you're working to. And when we might kind of expect an FID if the FEED projects go to plan.

Torgrim Reitan - *Equinor ASA - Executive Vice President and Chief Financial Officer*

Thank you very much. So Bay du Nord is a very important development. So this is a project that we have worked for quite a while. And it is now getting closer to a concept select. And that is what we plan for this year. This is a large development. We own 60% in the asset and sort of all together investment levels of \$9 billion to \$10 billion dollars on 100% basis. And production plateau a little bit below 200,000 barrels per day.

Very importantly, with a low tax rate. So this will have a significant contribution to cash flow from operations in the 2030s. Technology wise, this is ready. It is 500 kilometers offshore. It is dark and it is cold. But I would argue that as a company, we do have certain experience in those waters.

Bard Glad Pedersen - Equinor ASA - Senior Vice President, Head of Investor Relations

Thank you, Fergus. Thank you. Next is Paul Redman from BNP Paribas. Paul, please. Your line is open.

Paul Redman - Exane Bnp Paribas - Analyst

Hi, thank you very much. First question is just on cash flow this quarter. You had two big cash impacts. You had the collaterals and you had the price review. Can you just talk to us about how you expect those collaterals to play out through the year, whether you expect a reversal? And on the price review, do we expect anything else later on the year?

Secondly, on Ørsted, you talk about collaboration with the two companies. Is that collaboration with a 10% equity stake or do you need a greater equity stake? And then, sorry, one last one with a clarification. You said \$8 billion of CFFO upside, I think, at higher prices of \$85 a barrel. I think that's \$13 TTF. Can you just walk me through? Because I don't know whether my maths is wrong. I'm not sure if that works with your sensitivity. Happy to be proven wrong.

Torggrim Reitan - Equinor ASA - Executive Vice President and Chief Financial Officer

Okay, no, thanks. All right. So there were at least three questions in here. So let me take the cash flow first and the collaterals. So collaterals is a function of volatility in the market and it's a function of that we really would like to take advantage of that volatility and trade it and we don't hedge and so on.

So as volatility increase, we need to put collaterals behind the trades that we make. So in this quarter, collaterals increased by \$900 million, which is just natural business. So when volatility comes down again, collaterals will be reduced and that will sort of improve cash flow again. So this is normal business.

I just want to give you a data point. And that is during the energy crisis with the war in Ukraine, at the maximum, we had collaterals of \$10 billion in our balance sheet, enabling us to trade in an environment where very few could trade. And we made huge returns on that. And we didn't lose a single dollar in that. So this is what we do. And this is for us to be able to benefit from volatility, both on the gas and the oil side.

Then on Ørsted, the collaboration, I don't want to be too specific on this, but clearly the 10% ownership share that we have, we are satisfied with that. And there's a high bar to commit more capital into offshore wind. And that also goes with the position in Ørsted. When that is said, we do believe that this industry will need consolidation to improve profitability and risk management.

The last question was on the price sensitivity. So what I gave you was sort of specifics for 2026, which is the \$8 billion in improved cash flow for operations, if you assume \$85 oil and \$13 gas. However, there is a tax leg related to, we pay taxes with a six-months delay in Norway. So there is \$4 billion that sort of it builds sort of tax liability for the future beyond 2026.

We have in our material, price sensitivities which we issue. And we say that with a \$10 change in the oil price, that will change cash flow for operations with \$1.2 billion. And a \$2 on gas would lead to a \$0.8 billion improvement in the cash flow for operations. Those are sort of adjusted for the tax leg. And I think that is maybe the difference in your calculations, because those numbers are off the tax and adjusted for any tax leg impact. I know this is complicated, but it is important to understand. And Investor Relations will be more than ready to discuss this further with you later on.

Bard Glad Pedersen - Equinor ASA - Senior Vice President, Head of Investor Relations

Thank you, Paul. I can confirm the latter point. Then next one on my list is Jason Gabelman from TD Cowen. Jason, please go ahead.

Jason Gabelman - *Cowen and Company LLC - Analyst*

Yeah, hey, thanks for taking my question. Just one for me, as you think about the cash windfall, you're likely to receive this year, and kind of declining production growth as you look out to the 2030s. Is there any appetite to execute M&A in order to increase the potential production growth opportunities you have in the next decade?

Torgim Reitan - *Equinor ASA - Executive Vice President and Chief Financial Officer*

Thanks, Jason. So the investment program that we have put in place and that we are guiding on enables us to actually build this business -- step by step beyond this decade. We are aiming for a production on the Norwegian continental shelf in 2035, on the same level as in 2020. Internationally we are growing our production above 950,000 barrels per day in 2030. And our power business is also growing based on sort of the guided investments that we have.

So, I mean, we are not dependent on M&A to deliver high quality growth through the next decade. When that is said, M&A is an active tool that we use to high-grade our portfolio. And I can give you a couple of examples. We have exited Nigeria and Azerbaijan, two countries clearly declining, and we received a good price for that. We have made two acquisitions into Marcellus in the US, creating longevity and a robust portfolio for the long term in the US.

As heard, we have created Adura, the company in the UK, where we have sort of combined with Shell, our upstream assets, significantly improving our cash flow and actually growth outlook as well. My point being that going forward, you should expect us to continue to use M&A actively, to continue to high-grade the portfolio, create value, and also provide longevity into the business.

Bard Glad Pedersen - *Equinor ASA - Senior Vice President, Head of Investor Relations*

Thank you, Jason, for your question. This time, we actually managed to get through all questions within the hour. So I'm sure that's welcome on a busy day. Thank you all for your questions, for calling in.

And as always, the IR team remains available if there are any topics that you would like to follow up during the day or later in the week.

So have a good day, everybody. And thank you for calling.

Operator

The meeting is now concluded.

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